

MARY JOY ETHIOPIA

**IPSAS FINANCIAL STATEMENTS AND
AUDIT REPORT
31 DECEMBER 2022**

Tesfaye Adugna Certified Audit Firm
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MARY JOY ETHIOPIA
FINANCIAL REPORT
FOR THE YEAR ENDED 31 DECEMBER 2022

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MARY JOY ETHIOPIA
KEY ENTITY INFORMATION AND MANAGEMENT
FOR THE YEAR ENDED 31 DECEMBER 2022

Background Information

Mary Joy Ethiopia (MJE) was established in 1994 as a nonpolitical, non-religious and not profit-making organization. Presently Mary Joy works in close partnership with many development partners in six sub-cities of Addis Ababa, Yeka, Gulele, Addis Ketema, Arada, Bole and Kolfe Keraniyo and in 8 Woredas /towns of Southern Nations, Nationalities, and People's Regional State including Hawassa. There is one coordination office in Addis Ababa situated around locally known as "Asko" North -West of Addis Ababa. It has one semi-decentralized and one fully-decentralized program area offices located at Yeka sub city in Addis Ababa and Hawassa town respectively.

Vision:

MJE strives to be a sustainable organization that brings about lasting improvement in the lives of its target groups

Mission:

Mary Joy Ethiopia is an Ethiopian resident charity that works to empower vulnerable and underserved community groups through integrated development programs

Company TIN Number 000 1582679

Registered Office

Kolfe Keraniyo Sub-City
Asko Woreda 14, Near Tiquir Abay Shoe Factory
Addis Ababa
Ethiopia
[www. Maryjoy-ethiopia.org](http://www.Maryjoy-ethiopia.org)
Email: maryjoy@ethionet.et; maryjo@maryjoy-ethiopia.org

Independent Auditor

Tesfaye Adugna Certified Audit Firm
P.O.BOX 22351/1000
Email: tesfayeaudit@gmail.com
1st Floor, Zequala Complex, Kazanchis Bambis
Addis Ababa,
Ethiopia

Principal Bankers

Commercial Bank of Ethiopia
P. O. Box 12638
Addis Ababa, Ethiopia
Buna International Bank Share Company
P. O. Box-33645
Addis Ababa, Ethiopia



MARYJOY ETHIOPIA

MEMBERS OF BOARD OF DIRECTORS AND MANAGEMENT TEAM FOR THE YEAR ENDED 31 DECEMBER 2022

BOARD OF DIRECTORS

<u>No.</u>	<u>Name</u>	<u>Position</u>
1	Mr. Yismashewa Seyoum	Chairperson
2	Mr. Amare Kassa	V/Chairperson
3	Mrs. Worknesh Daba	Member
4	Mrs. Wubit Asefa	Member
5	Mr. Ayinalem Yigzaw	Member
6	Mrs. Addis Zelekaw	Member
7	Mr. Kassaye Lema	Member

MANAGEMENT TEAM

1	Sr.Zebider Zewdie Yitayew	Excutive Director
2	Mekuria Abera	Deputy Executive Director
3	Sintaheyu Hailu Ruffo	Resource Mobilization & Partnership Director
4	Dr Abdu Dawud	Chief of party USAID
5	Wondwosen Mesele Mitiku	Program Head
6	Habtamu Kitaba	Admin & Finance Head
7	Tadesse Tesfaye Birru	Grant & Finance Manager



MARYJOY ETHIOPIA
CHAIRMAN'S STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2022

Dear Mary Joy Ethiopia's Families,

It has been 29 years since Mary Joy Ethiopia began to contribute to the achievements of national development goals. According to the plan set for the 2022 budget year, in 4 regions and one city administration (SSNPR, Sidama, Southwest Ethiopia, Oromia, and Addis Ababa) through income generation/ improvement of livelihood; It has been possible to achieve many results in education, health and community-wide institutional capacity building during the fiscal year. In the year Mary Joy initiated 9600 short code text SMS message for resources mobilization from the public in collaboration with Ethio telecom to address the needs of highly vulnerable children, mothers with children, caregivers and destitute elderly.

The leadership has taken critical measures to execute the new organizational structure through organizing and strengthening the resource mobilization department by assigning the Director of Partnerships and Communications Director, and officers, and populating other work units with required staffs. Based on the strategic plan, operations have been started to expand the programs to new areas. It has been a year in which great efforts have been made to increase the contribution towards the expansion of the development by establishing relationships with various organizations.

Strong and committed organizations and dedicated members of the General Assembly, board members, influential people, and artists were able to carry out many works including the construction of the Hossaina elder Center, which is at a high level of performance in a short period of time in the fiscal year with remarkable support of various private organizations, FBOs, and universities. I am very proud to think that we have been able to work together with the diaspora community, as well as other development entities.

It is recognized that Mary Joy had a resource capacity gap to fully address government and community expectations, especial for intervention requests in new regions. However, it will integrate its human and material values to increase the program access in the next fiscal year; to reach multiple stakeholders; strengthen partnership with the regions in which we operate, and new areas. It will work with greater commitment and dedication to better strengthen Mary Joy to improve the lives of the beneficiaries and ensure sustainable development.

Finally, I am very grateful to all duty bearers, and the entire Mary Joy staff, for their contributions. I believe that your support will be continued and strengthened in the next year and beyond.

Yismashewa Seyoum
Chairperson of the board



MARYJOY ETHIOPIA
CORPORATE GOVERNANCE STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2022

The governance of the organization has a structure of general assembly with members of over 64 (of which 19 are females and the rest are males) is the highest governing body of the organization, which is followed by board of directors with a member of 7 (3 females and 4 males) persons and the secretariat. The Board is followed by a Management Committee. This comprises of the Executive Director, Program and Operational Director, Finance Head, Medical Directors and Area Program Managers, who are responsible for undertaking the day to day activities of the organization. A system of monitoring tools is in place and the board formally communicates with the General Assembly once a year, whilst the Executive Director and the Management reports quarterly to the board.

• **Number of Volunteers:**

4500 (that include leadership, peer mothers groups, individual volunteers, child support committee members, youth & child-led clubs, professional volunteers like artists, modelists, journalists, DJs, architects, fashion designers and so on).

• **Monitoring and Evaluation**

The monitoring and evaluation is part and parcel of the project cycle management process. in line with this, the organization has put in place monitoring and evaluation guideline and system. The indicators in the Performance Monitoring Plan (PMP) used to monitor the progress of the projects. Target indicators have been set for each output. These indicators will enable the Project Coordinator and the Monitoring and Evaluation Group to see how far the project has gone towards meeting its targets at every interval. The following monitoring activities have been conducted to ensure the project reaches its targets.

- a) Develop and distribute monitoring and evaluation tools, checklist and reporting formats
- b) Project staff are responsible to develop deep implementation /gaunt-chart to oversee the day-to-day activities of the project
- c) Every month the field activities of the project reviewed during staff meetings.
- d) Project activities reports presented to Donor agencies
- e) The performance status of the projects reported to government signatory offices and local stakeholders every quarter
- f) The Monitoring and Evaluation Group which consist of representative of targeted women, stakeholders and staff and donor agency meet regularly to discuss the progress of the projects
- g) There are bi-annual review meetings with all stakeholders and program personnel to identify strength, weakness, promising practices and lessons learned, and better strategies for improved performance of the project, and future interventions within the project life period.
- h) Mary Joy Ethiopia monitoring and evaluation unit develops checklists to measure the progress of the project in terms of the given output and outcome indicators, and conduct quarter base mentoring and supportive supervision



MARYJOY ETHIOPIA
CORPORATE GOVERNANCE STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2022

The organization has also a wide range of professional mix in the fields of social sciences & humanities, business & economics, law, health, technical & vocational education, information, and communications. The staffs have proven experiences on community and social development programs. Mary Joy Ethiopia has executed its programs using the staffs with different levels of educational background. During the period, 51 staffs have got tailor made and customized to the Mary Joy's program training organized by organizations.

In this period, the organization has given great attention on updating and improving the systems and procedures, so that it has managed building up strong system and a step moving forward it. Thus, Mary Joy Ethiopia makes it happened the development, updating and in placing of:

- Organizational development assessment TOR developed and external consultants invited to work on it.
- Organizational communication strategy developed

Main responsibility of Mary Joy was is implementing programs to enhance the socio economic strengthening of the community as a whole and this is part of the General Social responsibility we take as a noon profit agency. Mary Joy is implementing integrated development with major programs of livelihood enhancement, education, health and institutional sustainability, cross cutting issues of environmental protection, ASRH, HIV/AIDS, gender mainstreaming, inclusiveness and child protection. The organization works in six sub-cities of Addis Ababa, Yeka, Gulele, Addis Ketema, Kirkos, Bole and KolfeKeraniyo and in Hawassa and Yirgalem towns of Sidama regional state; in Dilla, Butajira, Hosaena, Sodo, Arbaminch and Jinka towns of SNNPR; and in Tepi, Mizan and Bonga town of SWER.and Oromia region with a total of 118 Woredas and kebeles. In all this area of operation



MARYJOY ETHIOPIA
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2022

Dear Families,

I am very much delighted on the performance of the fiscal year 2022. MJE's management, staff and volunteers have exerted maximum effort to achieve what we had planned at the beginning of the year. Resources mobilized have shown an encouraging growth. Over 127.6 million Birr was mobilized from international and local supporters, exceeding the plan by 18%, and has increased by 40% compared to last year. As a result, our programs reached over 290 thousand Orphan and Vulnerable Children, Care Givers, vulnerable youth, People Living with HIV, elders, and socio-economically vulnerable women, and community members with various services directly, while millions were also reached indirectly. Therefore, we have done a lot of work to make it accessible to many children, women, youth and elders, and in general, millions of members of society have been directly and indirectly reached by our various services and beneficiaries are increasing year by year. The local children and elders' sponsorship increased by 41% compared to the preceding year.

Despite all the challenges, MJE's management and staff exerted extraordinary effort to achieve what we had planned at the beginning of the year. As a result, our programs reached 205 thousand Orphan and Vulnerable Children, Care Givers, vulnerable youth, People Living with HIV, elders, and socio-economically vulnerable women with various services directly, wherein MJE operates, while millions were also reached indirectly. These figures show the increasing trend of our beneficiaries over the years.

The year marks commencement of new project agreements with Oxfam and SOS Children's Village Ethiopia, implemented economic strengthening support to the vulnerable elderly people, prevention of Corona; support vulnerable street children and mothers, care, and rehabilitation services. Moreover, we have launched project expansion on public-private partnership program to reach out the community in the towns of Dodola and Hasasa, west Arsi Zone, Oromia region. we have started to carry out the work of improving policies and guidelines, modernizing the operating system, and strengthening it with technology, which will boost up organizational capability to reach more community members and increase geographic coverage. There were challenges of resources constraints with to address the ever-increasing demand of the community, properly counter the market inflation, turnover of labor force.

Finally, I would like to thank everyone who has supported us to make our work successful in the fiscal year. Especially donor organizations; private sector, sponsors, government and non-government organizations, the diaspora community and philanthropic individuals.

Sr. Zebider Zewde,

Founder and Executive Director of Mary Joy Ethiopia



MARRY JOY ETHIOPIA
STATEMENT OF MANAGEMENT RESPONSIBILITIES
FOR THE YEAR ENDED 31 DECEMBER 2022

In accordance with the Proclamation No. 847/2014, 'Financial Reporting Proclamation', the Accounting and Auditing Board of Ethiopia (AABE) has made a mandatory requirement for Public Interest Entities to prepare their financial statements in compliance with International Public Sector Accounting Standards (IPSAS). As Mary Joy Ethiopia categorised under the PIE, per the requirement of AABE, its Management is responsible for the preparation and fair presentation of the association's financial reports in full conformity with the requirements of the International Public sector Standard issued by the International Public Sector Accounting Standards Board (IPSASB) which provide information about the financial position, financial performance and cash flows of an entity that is useful to a wide range of users in making economic decisions.

The Charities and Societies Agency also requires the Management to prepare financial statements that represent the state of affairs of the association at the end of the financial year and the operating results of the charity for that year. It also requires the Management to ensure that the association keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the Development Association.

Thus, the management is responsible to keep records that may be relied upon and to design, implement and maintain such internal control to enable the preparation of financial statements that are free from material omissions or misstatements, whether due to fraud or error.

The management is also responsible to:

- i) select and apply accounting policies in accordance with IPSAS 3 *Accounting Policies, Changes in Accounting Estimates and Errors*;
- ii) present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information; and
- iii) provide additional disclosures when compliance with the specific requirements in IPSAS is insufficient to enable users to understand the impact of particular transactions, other events and conditions on the entity's financial position and financial performance.

The Management certify that, to the best of their knowledge, the financial report comply with IPSAS in that it involves a fair presentation of the effects of transactions, other events and conditions in accordance with the definitions, recognition, presentation and disclosure requirements.

Nothing has come to the attention of the Management to indicate that the Association will not remain a going concern for at least twelve months from the date of this statement.

At the end of reporting period, the Management has assessed whether there is any indication that an asset may be impaired and confirmed that no any such indication exists.

Signed on behalf of the Management by:


Sr. Zebider Zewdie Yitayew
Executive Director





**INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS OF
MARRY JOY ETHIOPIA
FOR THE YEAR ENDED 31 DECEMBER 2022**

Section One: Report on the Financial Statements

We have audited the financial statements of Marry Joy Ethiopia, set out on Page 11 to 37, which comprise the statement of financial position as at 31 December 2022, statement of financial performance, statement of changes in net assets, a statement of cash flow, a statement of comparison of budget and actual amounts and a summary of significant accounting policies and other explanatory information for the year then ended, and notes to the financial statements, specified on page 15 to 37.

Unqualified Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Marry Joy Ethiopia as at 31 December 2022 and its financial performance, for the year then ended, in accordance with International Public Sector Accounting Standards (IPSAS).

Basis for Unqualified Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Organization in accordance with the International Ethics Standards Board for Accountants' code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Ethiopia, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



Responsibilities of the Management and those Charged with Governance for the Financial Statements

The management is responsible for the preparation and fair presentation of the financial statements in accordance with the accounting policies of the organization, and for such internal control as management determines is necessary to enable the preparation of the audit report that is free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Organization's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting unless management either intends to liquidate the organization or to cease operations, or have no realistic alternative but to do so. Those charged with governance are responsible for overseeing the organization's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the audit report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Section Two: Report on Other Legal and Regulatory Requirements

The opinion in this section is given based on the audit procedures we applied to review compliance with Civil Society Organization Proclamation No. 1113/2019;

1) Income:-

- a. The Organization has pre numbered cash receipt vouchers.
- b. All income of the year has been supported by Cash Receipt voucher.
- c. As per the documents presented for us source of income are clearly identified.
- d. All income directly remitted to Bank account of the organization.
- e. All foreign income collected by the organization are legal.



2) Expenditures :-

- a. Expenses were supported by appropriate documents.
- b. The Organization has pre numbered payment and journal vouchers.
- c. Payments were effected following payment procedures designed by the organization.
- d. Payments were approved by the management.
- e. Original documents were used as supporting evidence for expenditures.
- f. As shown on income and expenditure statement, the organization expends 85% for program and 15% for administrative costs.



3) Property, plant and equipment:-

- a. Property, plant and equipment register is maintained with necessary details.
- b. Property, plant and equipment identification number are given to each asset and cross-referenced with the register book.
- c. Property, plant and equipment counted by the management at year end.
- d. Property, plant and equipment register maintained by the management.

4) Advances to partners organization

- a. Advances to partners organization are a consequence of such transfer of cash funds, less reported disbursements
- b. The balance represents unutilized grant transferred to local partners.

5) Cash and bank balances

- a. The details of banks used by the organization are known.
- b. Bank reconciliation is prepared on monthly basis.
- c. Bank statements of each bank accounts operated by the organization are made available.

6) Creditors

- a. All liabilities were classified under current category.
- b. Taxes and pension are deducted and paid over to the tax authority within the time set for settlements.

7) Compliance with the project agreement

- a. The project agreement has been adhered to and related project funds have been used exclusively for the purpose of the project in accordance with the project agreement.

In our opinion, the attached financial statements of Mary Joy Ethiopia as at 31 December 2022, in all material respect, complies with Civil Society Organization Proclamation No. 1113/2019 issued by the FDRE Agency for Civil Society Organizations.

Tesfaye Adugna Certified Audit Firm
Chartered Certified Accountants (UK)
Authorized Auditors (Eth)



Addis Ababa
19 March 2023



MARY JOY ETHIOPIA
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2022

Currency :- Ethiopian Birr

ASSETS	Note	2022	2021
CURRENT ASSETS			
Cash and cash equivalents	2.1m,&7	19,182,381.64	20,964,178
Sundry and other receivable	8	1,738,483.40	4,188,231
Inventories	2.1f &14	912,641.06	284,670
		21,833,506.10	25,437,079
NON CURRENT ASSETS			
Property, plant and equipment	2.1b,8&6	28,066,339.68	28,112,632
TOTAL ASSETS		49,899,845.78	53,549,712
LIABILITIES AND NET ASSETS			
CURRENT LIABILITIES			
Trade and other payables	2.1e ii &10	3,768,685.77	255,895
Employee benefit	11	456,150.09	74,756
Leave obligation	12.1	597,118.40	243,010
		4,821,954.26	573,661
NON CURRENT LIABILITIES			
Employee benefit obligation	3&12.2	1,314,766	1,079,055
TOTAL LIABILITIES		6,136,719.97	1,652,716
NET ASSETS		43,763,125.81	51,896,995
REPRESENTED BY:			
Fund Balance		2,434,871.65	2,434,872
IPSAS Translation Reserves		28,081,118.38	28,127,411
Accumulated surplus		13,247,135.78	21,334,712
TOTAL EQUITY		43,763,125.81	51,896,995



MARY JOY ETHIOPIA
STATEMENT OF INCOME AND EXPENDITURE
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency :- Ethiopian Birr

	<u>Note</u>	<u>2022</u>	<u>2021</u>
Revenue from non-exchange transactions			
Foreign Donation	2.2a, 4	89,213,576.07	64,537,167
Local Donation	2.2a, 4	28,698,349.78	15,549,167
Elders center Construction Hossana and Arba Minch	2.2a, 4	2,050,784.32	6,335,187
Medical Center Income	2.2a, 4	7,701,483	4,926,915
Total revenue		127,664,193.17	91,348,436
Expenses			
Program Cost (85%)	5.1	115,139,852.64	76,133,118
Administrative Expense (15%)	5.2	20,584,704.30	10,793,245
Total Program and administrative expense		135,724,556.94	86,926,362
Depreciation expense		1,046,395.11	935,631
Total Expense		136,770,952.05	87,861,994
Surplus/ deficit for the Year end		(9,106,758.88)	3,486,442



MARY JOY ETHIOPIA
CHANGE IN NET ASSETS/ EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

	Fund Balance	IPSAS Translation	Accumulated surplus/ Deficit	Total Net Asset/ Equity
Balance as at 31 December 2020	2,434,872	4,269,074	17,848,270	24,552,216
PPE Recognition(Demeed cost) for Revalued Buildings		23,770,341		23,770,341
Severance Payable derecognition		87,996		87,996
Surplus for the period			3,486,442	3,486,442
Balance as at 31 December 2021	2,434,872	28,127,411	21,334,712	51,896,995
Balance as at 01 January 2022	2,434,872	28,127,411	21,334,712	51,896,995
Opening fund balance diffrence			(10,580)	(10,580)
Reestated balance	2,434,872	28,127,411	21,324,132	51,886,415
Return fund balance Save the Chidren			(16,633)	(16,633)
PPE Recognition cost IPSAS		1,000,102		1,000,102
PPE depreciation IPSAS		(1,046,395)	1,046,395	-
Surplus for the period			(9,106,759)	(9,106,759)
Balance as at 31 December 2022	2,434,872	28,081,118	13,247,136	43,763,126



MARY JOY ETHIOPIA
STATEMENT OF CASH FLOW
FOR THE YEAR ENDED 31 DECEMBER 2022

Cash flows from operating activities	<u>2022</u>	<u>2021</u>
Receipts		
Foreign Donation	89,213,576.07	64,537,166.81
Local donation & Dispora	7,924,838.13	15,549,167.28
Sponsorship Income	22,824,295.97	6,335,186.81
Medical Center Income	7,701,483.00	4,926,915.23
	<u>127,664,193.17</u>	<u>91,348,436.13</u>
Payments		
Employees Payment	52,224,577.35	27,133,441.70
Goods and services for distribution	1,658,973.93	2,250,979.57
Rent paid	1,158,432.85	1,019,765.67
Beneficiary cash payment	56,595,228.46	46,931,523.06
Medicine Purchase	1,437,289.11	1,328,634.52
Cash piad(collected) for Purchase advance, deposit and prepaymen	(1,919,812.33)	1,001,983.32
Other payments	17,274,565.15	8,728,087.32
Payment Total	<u>128,429,254.52</u>	<u>88,394,415.16</u>
Net cash flows from operating activities	(765,061.35)	<u>2,954,020.97</u>
Cash flows from investing activities		
Purchase of property, plant, equipment and intangible assets	1,000,102.31	2,104,316.09
Net cash flows used in investing activities	<u>(1,000,102.31)</u>	<u>(2,104,316.09)</u>
Donors Refund	(16,632.90)	-
Cash flows from financing activities		
Net cash flows used in financing activities	<u>(1,781,796.56)</u>	849,704.88
Net increase/(decrease) in cash and cash equivalents		
Begnining Cash Balance	<u>20,964,178.21</u>	<u>20,114,473.33</u>
Year End Cash Balance	<u>19,182,381.64</u>	<u>20,964,178.21</u>



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022

1. Company information

Mary Joy Ethiopia was established in 1994 as a non-political, non religious and not profit making organization. Presently Mary Joy works in close partnership with many development partners in Addis Ababa, Yeka, Gulele and Kolfe Kraniyo Sub Cities and In Southern Nations. Nationalities, People's Regional State, Hawassa City, Dilla Aleta Wondo, Yirgalem and, , Tula, Shebedino, Bule and towns.

The Association was re-registered on May 23, 2019 as an Ethiopian Resident Association by the Federal democratic republic of Ethiopia Agency for civil society organizations in accordance with Proclamation No. 1113/2019, and obtained a Registration Certificate No. 0060.

The Association has a mission to work towards empowering children, women, families and other underserved community groups through integrated community development programs which focus on capacity building and encourage genuine participation of beneficiaries to the effect that target communities become HIV and AIDS competent and their livelihood improved.

The Association has one coordination office in Addis Ababa and two semi-decentralized and one fully-decentralized program area offices located at Kolfe Keraniyo and Yeka sub cities in Addis Ababa and Hawassa town, respectively.

2. Significant accounting Policies

2.1 Basis of preparation

The financial statements have been prepared in accordance with International Public Sector Accounting Standards (IPSAS) as issued by the International Public Sector Accounting Standards Board (IPSASB).

For all periods up to and including the year ended 31 December 2021, the Association prepared its financial statements in accordance with local generally accepted accounting principles (Local GAAP) up to 2018. These financial statements for the year ended 31 December 2021 are the third Financial Statement the Association has prepared in accordance with IPSAS Accrual with some exceptions that affect fair presentation for building and land. In this accounting period the Association recognized two Own Buildings (elders Day Care Center) located in Hawasa with total value of birr 20,272,836.01

The financial statements prepared on a historical cost basis, except for two owned Lands located in addisababa and hawasa city and Building located in addisababa, which has not yet been revalued and taken as deemed cost in its opening IPSAS statement of financial position dated 1 January 2018. The Association take the exemption of IPSAS 33 Paragraph 36 relief and subsequently will measure the remaining land and buildings and take as deemed cost before the relief period elapse which is within three years from the adoption date of the transitional IPSAS accrual Financial statement.

Items included in the financial statements are measured using the currency of the primary economic environment in which the organization operates ('the functional currency'). The financial statements are presented in Ethiopian Birr ("ETB") which is the Charity's functional currency.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

2.1 Basis of preparation - Continued

These financial statements were prepared on the assumption that the Organization is a going concern and will continue in operation and will meet its mandate for the foreseeable future (IPSAS 1). The Governing Bodies of the Organization have not communicated any intention to terminate the Organization or to cease its operations.

In accordance with IPSAS 1, a complete set of financial statements has been prepared as follows:

- a. Statement of Financial Position
- b. Statement of Financial Performance
- c. Statement of Changes in Net Assets
- d. Cash Flow Statement
- f. Notes, comprising a summary of significant accounting policies and other relevant information.

In compliance with IPSAS 1, paragraph 28, Except for Property plant and equipment(Land and Building) in which the revaluation process not yet finalized for opening deemed cost ,the Association has fully adopted IPSAS. Other Categories of property plant and equipment that have been aquired before 2018,and aquired and expensed in both 2019,2020,2021and 2022 included in this transitional IPSAS financial statement.

2.2 Summary of significant accounting policies

The following are the significant accounting policies applied by the Association in preparing its financial statements:

a) Revenue from non-exchange transactions

The Association recognizes revenues from Donation, Contribution and membership fees when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, deferred income is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefits or service potential associated with the asset will flow to the Association and the fair value of the asset can be measured reliably.

b) Property, plant and equipment

All property, plant and equipment are stated at cost less accumulated depreciation and impairment losses after recognizing the PPE in the financial position as deemed cost and aquired and capitalized in the period of relief . Cost includes expenditure that is directly attributable to the acquisition of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the Association recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non- exchange transaction for nil or nominal consideration the asset is initially measured at its fair value.The Company commences depreciation when the asset is available for use. Free hold Land is not depreciated. Capital work-in-progress is not depreciated as these assets are not yet available for use. They are disclosed when reclassified during the year. An item of property, plant and equipment and any significant part initially recognized is derecognized upon disposal or when no future economic benefits are expected from its use.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

b) Property, plant and equipment

Depreciation is calculated on a straight-line basis over the estimated useful lives of the assets including those Property, plant and equipment which are stated at Revalued amounts and used as a deemed cost at opening IPSAS Financial Position date (30 JUNE 2019). For those items that are not revalued and assets that are acquired after translation date, their useful life is determined by management based on the pattern and the manner in which it has intended to use those assets. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in surplus/deficit statement when the asset is derecognized. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

The useful lives of items of property, plant and equipment have been assessed as follows:

Item:	Average useful life:
Leasehold	10 Years
Buildings	50 Years
Plant and machinery	15 Years
Motor vehicles	20 Years
Sanitary equipment	10 years
Office equipment	10 Years
Computer equipment	10 Years

Transitional provision is applied in the initial recognition of Property, Plant, and Equipment (PP & E) which were purchased or donated before 1 January 2018. Assets acquired prior to 1 January 2018 were expensed at the date of purchase and were not recognized as property plant and equipment. But in this third transitional IPSAS accrual financial statement we have included all items of property plant and equipment purchased prior to 1 January 2019 except for the land and building in which the revaluation is process not finalized.

C) Leases –

Finance leases are leases that transfer substantially all of the risks and benefits incidental to ownership of the leased item to the Association . Assets held under a finance lease are capitalized at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the future minimum lease payments. The Association also recognizes the associated lease liability at the inception of the lease. The liability recognized is measured as the present value of the future minimum lease payments at initial recognition.

Subsequent to initial recognition, lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognized as finance costs in surplus or deficit.

An asset held under a finance lease is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Association will obtain ownership of the asset by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating leases are leases that do not transfer substantially all the risks and benefits incidental to ownership of the leased item to the Association . Operating lease payments are recognized as an operating expense in surplus or deficit on a straight-line basis over the lease term.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

d) Intangible assets – IPSAS 31

i) Research and development costs

The Association expenses research costs as incurred. Development costs on an individual project are recognized as intangible assets when the Association can demonstrate:

- Ø The technical feasibility of completing the asset so that the asset will be available for use or sale
- Ø Its intention to complete and its ability to use or sell the asset
- Ø How the asset will generate future economic benefits or service potential
- Ø The availability of resources to complete the asset
- Ø The ability to measure reliably the expenditure during development

Following initial recognition of an asset, the asset is carried at cost less any accumulated amortization and accumulated impairment losses. Amortization of the asset begins when development is complete and the asset is available for use. It is amortized over the period of expected future benefit. During the period of development, the asset is tested for impairment annually with any impairment losses recognized immediately in surplus or deficit

e) Financial instruments

i) Financial Assets

Initial recognition and measurement

Financial assets within the scope of IPSAS 29 Financial Instruments: Recognition and Measurement are classified as financial assets at fair value through surplus or deficit, loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The Association determines the classification of its financial assets at initial recognition.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. Losses arising from impairment are recognized in the surplus or deficit.

Held-to-maturity

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the Association has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The losses arising from impairment are recognized in surplus or deficit.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

Costs incurred in bringing each product to its present location and condition are accounted for, as follows:

- * Raw materials and Medical Supplies: purchase cost using the weighted average cost method
- * Finished goods and work in progress: cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity, but excluding borrowing costs

After initial recognition, inventory is measured at the lower of cost and net realizable value. However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that class of inventory is measured at the lower of cost and current replacement cost.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution.

Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of the Society.

g) Provisions

Provisions are recognized when the Association has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Where the Association expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the statement of financial performance net of any reimbursement.

Contingent liabilities

The Association does not recognize a contingent liability, but discloses details of any contingencies in the notes to the financial statements, unless the possibility of an outflow of resources embodying economic benefits or service potential is remote.

Contingent assets

The Association does not recognize a contingent asset, but discloses details of a possible asset whose existence is contingent on the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association in the notes to the financial statements. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits or service potential will arise and the asset's value can be measured reliably, the asset and the related revenue are recognized in the financial statements of the period in which the change occurs.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022



h) Changes in accounting policies and estimates

The Association recognizes the effects of changes in accounting policy retrospectively. The effects of changes in accounting policy are applied prospectively if retrospective application is impractical.

i) Employee benefits

The Association provides retirement benefits for its employees. Defined contribution plans are post employment benefit plans under which a Association pays fixed contributions into a separate Association (a fund), and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods. The contributions to fund obligations for the payment of retirement benefits are charged against income in the year in which they become payable.

Defined benefit plans are post-employment benefit plans other than defined-contribution plans. The defined benefit funds are actuarially valued annually on the projected unit credit method basis or other applicable simplified methods depend on the Association materiality. Deficits identified are recovered through lump sum payments or increased future contributions on proportional basis to all participating employers. The contributions and lump sum payments reduce the post-employment benefit obligation.

k) Foreign currency transactions

Transactions in foreign currencies are initially accounted for at the spot rate of exchange on the date of the transaction. Trade creditors or debtors denominated in foreign currency are reported at the statement of financial position reporting date by applying the exchange rate on that date. Exchange differences arising from the settlement of creditors, or from the reporting of creditors at rates different from those at which they were initially recorded during the period, are recognized as income or expenses in the period in which they arise.

l) Related parties

The Association regards a related party as a person or a Association with the ability to exert control individually or jointly, or to exercise significant influence over the Society, or vice versa. Members of key management are regarded as related parties and comprise the board members, manager and senior managers.

m) Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash at bank, short-term deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. Bank account balances include amounts held at the Association bank account and at various commercial banks at the end of the financial year. For the purposes of these financial statements, cash and cash equivalents also include short term cash imprests and advances to authorised public officers and/or institutions which were not surrendered or accounted for at the end of the financial year.

n) Comparative figures

Where necessary comparative figures for the previous financial year have been amended or reconfigured to conform to the required changes in presentation.



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

o) Significant judgments and sources of estimation uncertainty

The preparation of the Charity's financial statements in conformity with IPSAS requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

p) Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Association based its assumptions and estimates on parameters available when the financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of the Charity. Such changes are reflected in the assumptions when they occur. IPSAS 1.140

q) Useful lives and residual values

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

- Ø The nature of the asset, its susceptibility and adaptability to changes in technology and processes
- Ø The nature of the processes in which the asset is deployed
- Ø Availability of funding to replace the asset Changes in the market in relation to the asset

r) Provisions

Provisions were raised and management determined an estimate based on the information available. Additional disclosure of these estimates of provisions .

Provisions are measured at the management's best estimate of the expenditure required to settle the obligation at the reporting date, and are discounted to present value where the effect is material.

s) Subsequent events

There have been no events subsequent to the financial year end with a significant impact on the financial statements for the year ended December 31, 2022.

Exemptions applied

IPSAS 33 allows first-time adopters certain exemptions from the retrospective application of certain requirements under IPSAS.



MARYJOY ETHIOPIA

NOTES TO THE FINANCIAL STATEMENTS - CONTINUED

FOR THE YEAR ENDED 31 DECEMBER 2022

The Association has applied the following exemptions:

According to IPSAS 33, Para 36 Where The charity has not recognized Property, plant and equipment under its previous basis of accounting, it is not required to recognize and/or measure the following PPE for reporting periods beginning on a date within three years following the date of adoption of IPSASs. The Association take transitional exemption and provision of property, plant and equipment, which has significant amount but did not recognised in the transition period of January 2018 opening financial position, this exemption will affect the fair presentation of financial statement of the first IPSAS transitional financial statement as at 31 December 2019, 2020, 2021 and 2022, but except for the land and building the Association has recognised all PPE in this reporting period at its historical cost amount less the depreciation adjustment since its acquisition date. The association revalued two owned buildings (elders day care center in Hawasa and included in this financial statement.

Comparative Information

IPSAS 33 does require the first time adopter to present the effect for recognition of property plant and equipment in which the exemption applied on the comparative information in its first IPSAS financial statement. The Association has shown the effect on comparative information (2020) in its third financial statement. In subsequent periods at the end of the transitional period which is December 2022 the charity will report on the comparative information as required by IPSAS 1 showing the recognition of the property plant and equipment acquired before 1 January 2019 which was exempted in the first IPSAS financial statement 31 December 2019 and still in revaluation process that have affected the fair presentation of IPSAS transitional financial statements.

The following schedule shows the values of an item and categories of property plant equipment recognized in this Period IPSAS transitional financial statement with its effect on the IPSAS transitional reserve

	Net Book Value
Property plant and equipment Capitalized in 2019 IPSAS	587,215.95
Earlier Year Acquired Assets AT NBV as at 2019	2,583,930.46
2020 Acquisitions that have been expensed and added back to IPSAS Transitional reserve	1,188,280.13
Buildings exempted for transitional period Revalued and included in 2021	20,272,836.01
2022 Acquisitions that have been expensed and added back to IPSAS Transitional reserve	1,000,102.31
	<u>25,632,364.86</u>



MARYJOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

3. Significant accounting judgements, estimates and assumptions

The preparation of the Association's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of asset or liability affected in future periods.

Judgements

In the process of applying the Associations' accounting policies, management has not encountered any situation that calls for any a significant judgements, which have significant effect on the amounts recognized in the financial statements:

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The Association based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to circumstances arising beyond the control of the Association. Such changes are reflected in the assumptions when they

Employee termination benefit

The cost of post employment benefit and the present value of the pension obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, and employee turnover rates . Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a post employment benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the salary increment rate and date of employee termination. In determining the appropriate salary increment rate, management has taken historical data and estimated rate of salary increment using growth rate calculation formula.



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

4 Revenue

The following are analysis of the Charitys' revenue for the year

	<u>2022</u>
Foreign Donation	
IOM	4,154,258.02
USAID	75,830,841.60
Lung Cancer Prevention (Matios Wendu Cancer Society)	2,204,843.00
Urban Distitute Support Elders	2,323,125.00
OXFAM -UK	2,098,046.45
SOS	2,602,462.00
	<u>89,213,576.07</u>
Local Donation	
Local donation & Diaspora	2,975,486.08
Sponsorship Income	22,824,295.97
Ethio Telecom SMS 9600 Support	2,898,567.73
Local Donation total	<u>28,698,349.78</u>
Elders center Construction Hossana and Arba Minch	2,050,784.32
Income generating Medical Center Income	<u>7,701,483.00</u>
TOTAL INCOME	<u>127,664,193.17</u>

4.1 Source of Revenue from non exchange transaction

Income from Bank service charge other revenue from voluntories contribution in Kind and in cash to support the association objective. The revenue was not stipulated any condition so that, it was recognised as asset and as a revenue.



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

5 Expenses

5.1 Program Expenses

	<u>2022</u>	<u>2021</u>
Salaries, wages and benefits	20,493,723.28	11,475,183.00
Salaries, wages and benefits EKHC	5,747,399.48	4,260,038.00
Salaries, wages and benefits Progynist	6,736,555.24	4,361,363.64
Salaries, wages & benefits CVDA	6,378,028.69	2,754,882.52
Travel and transpot allowance	2,113,015.15	875,595.03
Travel and transpot Allowance EKHC	935,060.50	431,109.05
Travel and Transpot Allowance Progynist	580,947.00	306,813.76
Travel and Transpot CVDA	154,906.30	86,946.00
Training cost	6,188,691.34	7,689,420.64
Participants allowance	490,088.85	506,113.93
Medical	2,065,260.13	1,328,634.52
Community suppoer	28,554,469.14	15,591,941.36
Community suppoer EKHC	9,146,344.41	7,477,734.19
Community suppoer Progynist	7,371,398.31	5,529,174.15
Community support CVDA	9,045,814.71	10,211,072.06
Social promotion	2,477,201.89	432,180.66
Office furniture specific to the project	400,779.78	1,344,815.38
Office furniture specific to the projec EKHC	441,153.04	242,623.27
Office furniture specific to the project Progynist	328,556.51	174,644.34
Office furniture specific to the project CVDA	488,484.60	240,701.04
IEC materials	-	115,728.96
Events celebration	455,014.70	180,498.04
Inventory Movement Expense Reversal	(627,971.02)	(39,359.50)
Monitoring and Evaluation	202,157.00	-
Equipment	929,031.99	-
Printing ,Copy, Binding	109,308.72	197,930.76
Construction cost	3,698,722.48	67,697.50
Terminal evaluation	235,710.42	289,635.34
	<u>115,139,852.64</u>	<u>76,133,117.64</u>



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (Continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

5.2 Adminstrative expense

		2021
Salaries, wages & benefits	5,146,925.87	4,332,617.01
Salaries, wages & benefits EKHC	1,897,170.03	-
Salaries, wages & benefits CVDA	2,040,845.81	-
Perdiem and transport	184,047.85	152,957.97
Repair and mainteneace	906,594.13	1,701,030.00
Fuel and lubricants	987,513.83	513,980.28
Stationary & office supplies	488,783.63	483,053.53
Communications	769,461.11	579,372.95
Utility	126,524.22	74,699.35
Insurance	176,216.05	37,760.00
office rent Rent	1,158,432.85	1,018,577.67
Audit fee	157,156.45	92,008.84
Refreshment	164,380.82	280,792.86
Loading unloading	265,858.52	79,394.00
Others	38,993.77	42,468.62
Bank charge	8,806.01	6,180.63
Printing ,Copy,Binding	226,792.80	-
Documentation	139,961.99	233,652.38
Employee Leave and other longterm benefit	354,107.99	(65,250.32)
Office furniture specific to the project PPE recognized Expei	-	(1,344,815.38)
Reversal of Severance Piad	-	(42,379.94)
Office maintenance	200,068.62	99,941.00
Severavce paymnet	-	42,379.94
Other Direct Costs DILA	959,483.73	-
Other Direct Costs EKHC	1,414,310.08	869,748.89
Other Direct Costs Porgynist	1,490,727.30	789,311.84
Other direct cost CVDA	1,276,050.84	815,662.64
Computer network	5,490.00	100.00
Total Adminstration expenses	20,584,704	10,793,245



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

6. PROPERTY, PLANT AND EQUIPMENT

COST	As at 01.01.2022	Addition	As at 31.12.2022
Building	23,770,341	-	23,770,341
Machinery	672,641	-	672,641
Furniture and fixture	1,100,295	139,655	1,239,950
Computer and accessories	2,106,338	281,142	2,387,480
Office Equipment	309,783	173,880	483,663
Musical Instrument	307,829	229,625	537,454
Medical Equipment	981,268	-	981,268
Kitchen Equipment	103,874	-	103,874
Motor Vehicle	-	160,000	160,000
GYM Equipment	204,527	-	204,527
Sanitary equipment	-	15,800	15,800
	<u>29,556,895</u>	<u>1,000,102</u>	<u>30,556,997</u>
DEPRECIATION			
Building	451,636	475,407	927,043
Machinery	66,523	4,435	70,958
Furniture and fixture	159,100	121,869	280,969
Computer and accessories	396,210	221,639	617,849
Office Equipment	37,599	40,610	78,208
Musical Instrument	41,193	48,005	89,197
Medical Equipment	216,036	98,127	314,163
Kitchen Equipment	22,237	10,387	32,624
Motor Vehicle	-	5,333	5,333
GYM Equipment	53,728	20,453	74,181
Sanitary equipment	-	132	132
	<u>1,444,262</u>	<u>1,046,395</u>	<u>2,490,657</u>
BOOK VALUE	<u>28,112,632</u>		<u>28,066,340</u>



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

6.1 Disclosures Of PPE

Except computer, office equipment machine and furniture purchased during 2019, 2020 and 2021 financial year And two own building elders day care center located in hawasa All property, plant and equipment that was expensed when purchased before January 2019 financial year not identified revalued and recognized in this final transitional IPSAS Financial statement. The Charity elect to use the three years transitional provisional relief. The assets that was not included in the association register (land and building) are material and significant with an estimated amount at the historical acquisition cost amounted around 15 million birr. This will affect the fair presentation of the financial statement of the charity.

This asset will be revalued or historical cost will be collected from acquisition source documents and restated in accordance with the IPSAS 17 requirement and will be finalized and accounted in the next financial years before the relief period elapsed. If the management decided to revalue the asset at current fair value the charity will take the revalued amount as deemed cost in its financial statement.

We have Presented Items Donated in Kind both in Addis Ababa and regional offices with an estimated price of Birr 11,901,237 Food School and Sanitary materials, health support cloths, etc



MARY JOY ETHIOPIA**NOTES TO THE FINANCIAL STATEMENTS - CONTINUED**
FOR THE YEAR ENDED 31 DECEMBER 2022**Currency:- Ethiopian Birr****6.2 Disclosures Of PPE**

Except computer, office equipment machine and furniture purchased from 2019-2022 a financial year and two own building elders day care center located in Hawasa. All property, plant and equipment that was expensed when purchased before January 2019 financial year not identified revalued and recognized in this final transitional IPSAS Financial statement. The Charity elect to use the three years transitional provisional relief. The assets that was not included in the association register (land and building) are material and significant with an estimated amount at the historical acquisition cost amounted around 15 million birr. This will affect the fair presentation of the financial statement of the charity.

This asset will be revalued or historical cost will be collected from acquisition source documents and restated in accordance with the IPSAS 17 requirement and will be finalized and accounted in the next financial years before the relief period elapsed. If the management decided to revalue the asset at current fair value the charity will take the revalued amount as deemed cost in its financial statement.

We have Presented Items Donated in Kind both in Addis Ababa and regional offices with an estimated price of Birr 11,901,237 Food School and Sanitary materials, health support cloths, etc

7 Cash and cash equivalents

	<u>2022</u>	<u>2021</u>
Cash in hand (Note #7.1)	100,627.52	63,627.84
Cash at Bank (Note # 7.2)	19,081,754.12	20,900,550.37
Cash and cash equivalents	19,182,381.64	20,964,178.21

7.1 Cash in hand

	<u>2022</u>	<u>2021</u>
Main cash .	7,300.92	-
Main Cash ETEM Awassa	9,530.32	-
Main Cash Birhan Megenegna	959.03	-
Petty Cash Yeka Project	5,000.00	5,000.00
Petty Cash of main office	10,000.00	5,000.00
Petty cash Awassa	5,000.00	5,000.00
Petty cash Askto M center	10,000.00	5,000.00
Petty Cash - Fund Raising Offi	15,000.00	5,000.00
Petty cash Hadiya	10,000.00	5,000.00
Main Cash Hadiya	17,514.41	23,305.00
Petty cash Askto M center	-	5,000.00
Petty cash Wolayta/Arbaminch	5,000.00	-
Petty cash Arbaminch	5,000.00	5,000.00
Payrol Fund Worke(HO)	322.84	322.84
	100,627.52	63,627.84

MARY JOY ETHIOPIA

NOTES TO THE FINANCIAL STATEMENTS - CONTINUED

FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

7.2 Cash at Bank	2022	2021
Cash at Bank by A/C 841	689,559.65	3,130,839.01
Cash at bank 1130	17,049.80	289,043.87
Cash at bank Enat bank	194,687.90	181,172.45
Cash at Bank - 1534 Kolfe	2,823,132.87	1,371,556.51
cash at bank 1442 (Dilla)	304,899.59	304,899.59
cash at bank Megenagh 1599	4,103,403.98	5,373,796.89
Cash at bank Wolayete	34,516.95	34,516.95
Cash at Bank Etem AWs	155,934.43	30,329.04
Cash at Bank Arat kilo	1,327,954.52	1,062,285.46
Cash at Bank Buna Kotebe	1,101,000.53	24,069.53
Cash at Bank Buna Megenagna	835,484.30	811,455.30
Cash at Bank Arbaminch	2,169,481.95	2,542,616.31
Cash at Bank Bunna Awassa	353,803.49	226,393.85
Cash at Bank Birhan Megenaga	993,954.92	234,340.56
Cash at Dashen Bank	1,176,228.78	24,806.78
Cash at Bank Hadiya	58,447.41	1,484,359.34
Cash at Bank Abysina	1,592,747.79	2,975,578.22
Cash at Bank Abysina Hawasa	1,996.95	1,996.95
Cash at Bank United Bank	320,974.55	20,000.00
Cash at Bank Awash bank	826,493.76	776,493.76
	19,081,754.12	20,900,550.37

8 Sundry and other receivable

	2022	2021
Tax recievables VAT (Note 8.1)	690,709.74	856,441.55
Advance and other recievables (Note 8.2)	982,930.69	3,009,554.47
Staff loan (Note 8.3)	64,842.97	322,234.77
	1,738,483.40	4,188,230.79

They are non-derivatives financial assets carried at amortized cost which do not generate a fixed or variable interest income for the Charity. The carrying value may be affected by changes in the credit risk of the counterparties. The Charity has no any past due yet not impaired receivable.

8.1 Tax recievable

	2022	2021
VAT recivables	690,709.74	615,483.27
VAT recivables- USAID	-	240,958.28
	690,709.74	856,441.55

MARY JOY ETHIOPIA

NOTES TO THE FINANCIAL STATEMENTS - CONTINUED

FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

8.2 Advance and Other Recievables	<u>2022</u>	<u>2021</u>
EKHC	63,075.14	63,075.14
Pur. Ad - Worknesh	65,097.86	2,716.81
Pur.Advance .Tizita Wolde	-	35,791.73
Purchase advance Progynist	144,809.08	1,015,559.25
Paymnet advance CVDA	-	1,026,864.14
Payment advance Dilla	-	-
Purchase adva. Shimelis Mersha	51,500.00	-
Payment advance MJE PLC	558,000.00	558,000.00
Purchase advance Getnet Tesfa	-	11,200.00
Purchase Adva. Addisalem Kebed	-	2,737.35
Purchase adv Meron Endeshaw	39,190.36	1,085.12
Purchase Adva. Abraham Seyum	-	26,818.64
Payment advance EKHC	-	226,665.33
Progynist	39,040.96	39,040.96
With holding tax payable	22,217.29	-
	<u>982,930.69</u>	<u>3,009,554.47</u>

8.3 Staff Loan	<u>2022</u>	<u>2021</u>
Short Term Loan	-	48,523.22
Short term loan Fikru Regassa	-	4,661.50
Loan Wondwosen Mesele	36,758.65	-
Short term loan for displaced	28,084.32	269,050.05
	<u>64,842.97</u>	<u>322,234.77</u>

9 Net asset/ Equity

The Net asset/ Equity balance represents the amount available for future operation of the Charity.

10 Trade and other payables

	<u>2022</u>	<u>2021</u>
Sundry and other payables (Note 10.1)	3,382,221.91	79,090.00
Employee income tax payable	386,463.86	176,804.84
	<u>3,768,685.77</u>	<u>255,894.84</u>

MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

Currency:- Ethiopian Birr

10.1 Sundry and other Payable

	<u>2022</u>	<u>2021</u>
Payment advance EKHC	848,943.38	-
Paymnet advance CVDA	679,688.85	-
Payment advance Dilla	383,765.56	-
Staff loan	10,850.44	-
Short term loan Fikru Regassa	293.23	-
Cost sharing	4,598.00	2,090.00
Audit fee	82,666.45	77,000.00
Accruals	1,371,416.00	-
	<u>3,382,221.91</u>	<u>79,090.00</u>

11 Employee Benefit Obligation

	<u>2022</u>	<u>2021</u>
Pension contribution	25,189.05	74,095.72
Pension contribution Hadiya	-	512.28
Povident Fund - HO	-	147.94
Compensation /Severance salary	430,588.29	-
Provident fund Arbaminch	372.75	-
	<u>456,150.09</u>	<u>74,755.94</u>



12 Termination benefit obligation (Severance payment)

The Charity is obliged by law to pay severance payment for eligible employees who served the Charity for more than 5 years when the employment is terminated. The amount payable is one month final salary for the first year of service and one third of the final salary for the remaining year of services. Accordingly the present value of post employment benefit obligation (severance) and the related current service cost were measured using the projected unit credit method. And as per the requirement of Ethiopian labor law, we have accrued annual leave liability for annual leave balance carried forward for two years of each employee and showed the movement below. The eventual settlement of the severance is determined by reference to years of service to the company and based on the final monthly salary of the employee (30 days salary for the first year of service and one-third of the final salary for the remaining period the employee is entitled the benefit- and we ignored the mortality rate and other variables because of undue cost and effort and unavailability of reliable information in Ethiopia. The key financial assumptions are the discount rate and the rate of salary increases.



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS - CONTINUED
FOR THE YEAR ENDED 31 DECEMBER 2022

	<u>2022</u>	<u>2021</u>
12.1 Employee Obligations Long term		
Other Long term termination benefit		243,010.41
Leave Obligation	597,118.40	-
Total	<u>597,118.40</u>	
12.2 Employee benefit obligation		
Opening employee benefit obligation	1,079,055.29	948,684.39
Current service cost	235,710.42	130,370.90
Closing employee benefit obligation	<u>1,314,765.71</u>	<u>1,079,055.29</u>

13 Accrued leave salary

This represents cumulative annual leave accrued at the reporting date. Each employee is entitled to an annual leave of 14 days for the first year of employment and keeps on increasing one day per additional year of service until it reaches the maximum amount allowed per year. However, the leave can only be carried forward for one more year.

	<u>2022</u>	<u>2021</u>
13.1 Movement in Accrued Leave current expense		
Opening employee benefit obligation	243,010.41	438,631.63
Current service cost		
Payment		(195,621.22)
Reversal of provision	354,107.99	
Closing employee benefit obligation	<u>597,118.40</u>	<u>243,010.41</u>



14 Inventory

A breakdown of the items included within inventory were as follows:

	<u>2022</u>	<u>2021</u>
Pharmaceuticals	912,641.06	284,670.04
	<u>912,641.06</u>	<u>284,670.04</u>

Due to its immaterial nature we have ignored the medical stocks donated in 2019 to recognize as donation income or non exchange revenue and we have also ignored the impairment of inventory which we thought it is immaterial and testing for impairment for the undue cost and effort exemption. And there are property plant and equipment items that have been received from different donors in 2020 and this items needs to be recognized as donation income, but we have ignored this as the determination of fairvalue of the non exchange consideration received has not been determined and finalized.



MARY JOY ETHIOPIA
NOTES TO THE FINANCIAL STATEMENTS (continued)
FOR THE YEAR ENDED 31 DECEMBER 2022

15. Related party disclosure

The Charty has no related party structured with entity vehicle During the year, and no loans were granted to Senior management personnel.

16. Events after reporting period

Marry Joy's reporting date is 31 December 2022. On the date of the signing of these accounts, no material events, favorable or unfavorable, had been incurred between the balance sheet date and the date when the financial statements were authorized for issue that would have had an impact on the financial statements.

17. Going concern assumption

Management of the Charty has concluded on the appropriateness of the use of the going concern basis of accounting based on the assessment made on whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Charty's ability to continue as a going concern. Management's conclusions are based on the assessment made up to the forceable future. And The Financial statement is prepared on a going concern basis. The management has no doubt that the Organization would remain in existence after 12 months. The Financial statement is prepared on a going concern basis. The management has no doubt that the Organization would remain in existence after 12 months.



MARY JOY ETHIOPIA

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MARY JOY ETHIOPIA
DONOR BASED INCOME AND EXPENDITURE STATEMENT
FOR THE YEAR ENDING ON 31 DECEMBER 2022

CODE	21 IOM	24 BRISTOL MYEROS	35 URBAN DUSTITUT	10 USAID Epidemic	6 USAID - Family	36 OXFAM -UK	37 SOS	18 Elders center	28&27 Private public	4 Medical center &	5 Individuals Donation (Other	38 ETHIO- TELECOM	2022	2021
ADMINISTRATION . EXPENSE														
Salaries, wages & benefits	255,756	179,103	149,317		1,850,261		59,453		842,955	844,271	217,882		4,398,999	4,332,617
Salaries, wages & benefits Prognist					1,897,170								1,897,170	
Salaries, wages & benefits EKHC					2,040,846								2,040,846	3,794,340
Salaries, wages & benefits CVDA					734,877								747,927	152,958
Salaries, wages & benefits DILLA					327,941								769,461	579,373
Communications	20,333	6,669	34,564	-		1,884	25,019	26,714	225,039	21,812	101,298		126,524	74,699
Utility	390		27,565	-		1,671	21,246	7,456	46,384				488,784	478,254
Stationary & office supplies	53,559	9,247	18,209	12,696	31,713	10,561	12,952	27,731	160,214	112,238	39,665		987,514	513,980
Fuel and lubricants	46,833	24,225	73,752	44,122	242,711	20,290	17,591	12,400	260,079	16,772	228,740		1,158,433	1,018,578
Rent	38,250	41,731		79,022	585,760				354,541		59,130		157,156	92,009
Audit fee	9,000	2,147	1,529	-	114,973		1,300	489	22,809	4,909	128,379		906,594	1,701,030
Repair and maintenance	44,819	27,543	36,730	27,745	214,240	21,427	33,247	11,740	202,935	157,788	47,081		176,216	37,760
Insurance		5,836	578	-	82,194				40,527		15,525		139,962	233,652
Documentation		2,473	7,494	-	18,634	8,845	7,326	7,024	61,758	10,884			164,381	280,793
Refreshment		16,070	-	3,153	41,206	4,411	650	5,280	75,824	12,727			184,048	
Transport /Taxi	5,060	6,067	3,643		10,220		2,506	17,080	136,527	3,307	9,000		265,859	79,394
Loading unloading	4,698		3,276		14,950	24,338	6,700	7,040	125,476	65,467			5,490	6,490
Computer network	9,611	-											38,994	77,988
Others	4,490												8,806	6,181
Bank charge				450	1,170			300		27,294			226,793	-
Printing ,Copy, Binding					225,490		1,303		175,962	6,562	15,735		200,069	-
Office maintenance					1,810								1,490,727	42,380
Severance paymnet					1,490,727								789,312	789,312
Other direct cost Prognist					1,414,310								1,414,310	869,749
Other direct cost EKHC					1,276,051								1,276,051	815,663
Other direct cost CVDA					959,484								959,484	-
Other direct cost DILLA					13,576,738								20,230,596	15,977,199
Total Admin Expenditure	492,799	321,185	357,659	167,187	13,576,738	93,427	189,292	123,254	2,758,105	1,288,517	862,434	-	20,230,596	15,977,199
Total Expenditure	5,244,957	1,892,328	2,130,193	577,557	81,713,982	2,098,046	2,601,675	5,174,040	25,723,279	6,465,513	908,436	1,232,702	135,762,710	92,190,087
Excess(difreit) of Income Over Expend	(1,090,699)	312,515	192,932	(577,557)	(5,883,141)	-	787	(3,123,232)	(291,040)	1,534,470	(839,655)	1,665,865	(8,098,754)	(841,651)
OPENING FUND BALANCE beginning		1,032,310	(192,932)	577,557	6,778,658			5,917,732	6,234,683	1,754,548	2,201,788		24,304,344	24,304,344
OPENING difference														
Prior year adjustment														
Refund to donor														
ENDING FUND BALANCE	(1,090,699)	1,344,825	-	0	895,517	-	787	2,794,500	5,943,643	3,289,017	1,362,133	1,665,865	16,205,589	24,304,344

